O06 / OPERATING ENTRIES

Record inventory and equipment

Bookkeeping / Journal · Stock and asset records

Use purchase evidence and the approved classification to distinguish stock on hand, current consumption and long-lived assets.

01 **Receive goods**

For items tracked as stock, debit inventory and credit cash/bank or supplier payable. Record item, quantity, unit cost and receipt. Use the approved costing method when stock is issued.

02 **Recognize consumption or loss**

Debit cost of sales or the approved waste/adjustment account and credit inventory for the documented cost. Compare count differences to the stock records, with quantity, date and reviewer.

03 **Record equipment**

Use the approved capitalization policy. Debit the asset and credit its funding source or payable. Record in-service date, cost, useful life and custody. Expense items below the approved threshold according to policy.

04 **Depreciate or dispose**

Debit depreciation expense and credit accumulated depreciation per the approved schedule. On disposal, remove cost and accumulated depreciation, record proceeds, and recognize the supported gain or loss.

Stock example · LAK

Receive stock at 800,000, then issue ingredients costing 300,000. The first entry increases inventory. The issue debits cost of sales and credits inventory 300,000.

Before you finish

The stock count or asset register must explain the closing ledger balance and any adjustment.